Lecture 6
E-commerce Marketing and advertisng

LEARNING OBJECTIVES

1. Understand the decision-making process of consumer purchasing online.
2. Describe how companies are building one-to-one relationships with customers.
3. Explain how personalization is accomplished online.
4. Discuss the issues of e-loyalty and e-trust in EC.
5. Describe the objectives of Web advertising and its characteristics.

LEARNING OBJECTIVES

7. Describe the major advertising methods used on the Web.
8. Understand how advertising is done in social networks and the Web 2.0 environment.
9. Describe various online advertising strategies and types of promotions.
10. Describe online marketing, ad management, localization, and other advertising-related issues.

Consumer Behavior

- Study of consumer behavior
  - Attempts to explain what consumers purchase and where, when, how much, and why they buy
- Consumer behavior models
  - Attempt to predict or explain wide range of consumer decisions
  - Based on background demographic factors and other intervening, more immediate variables

LEARNING ABOUT A CONSUMER PURCHASING ONLINE

- **A GENERIC PURCHASING-DECISION MODEL**
  - **Need identification**
  - **Information search**
    - **product brokering**

      Deciding what product to buy.
    - **merchant brokering**

      Deciding from whom (from what merchant) to buy products.
  - **Evaluation of alternatives**
  - **Purchase decision and delivery**
  - **Postpurchase behavior**

The Consumer Decision Process and Supporting Communications

MARKET COMMUNICATIONS	Awareness—Need Recognition	Search	Evaluation of Alternatives	Purchase	Post-purchase Behavior—Loyalty
Offline Communications	Mass media TV Radio Print media Social networks	Catalogs Print ads Mass media Sales people Product raters Store visits Social networks	Reference groups Opinion leaders Mass media Product raters Store visits Social networks	Promotions Direct mail Mass media Print media	Warranties Service calls Parts and repair Consumer groups Social networks
Online Communications	Targeted banner ads Interstitials Targeted event promotions Social networks	Search engines Online catalogs Site visits Targeted e-mail Social networks	Search engines Online catalogs Site visits Product reviews User evaluations Social networks	Online promotions Lotteries Discounts Targeted e-mail Flash sales	Communities of consumption Newsletters Customer e-mail Online updates Social networks

A General Model of Consumer Behavior

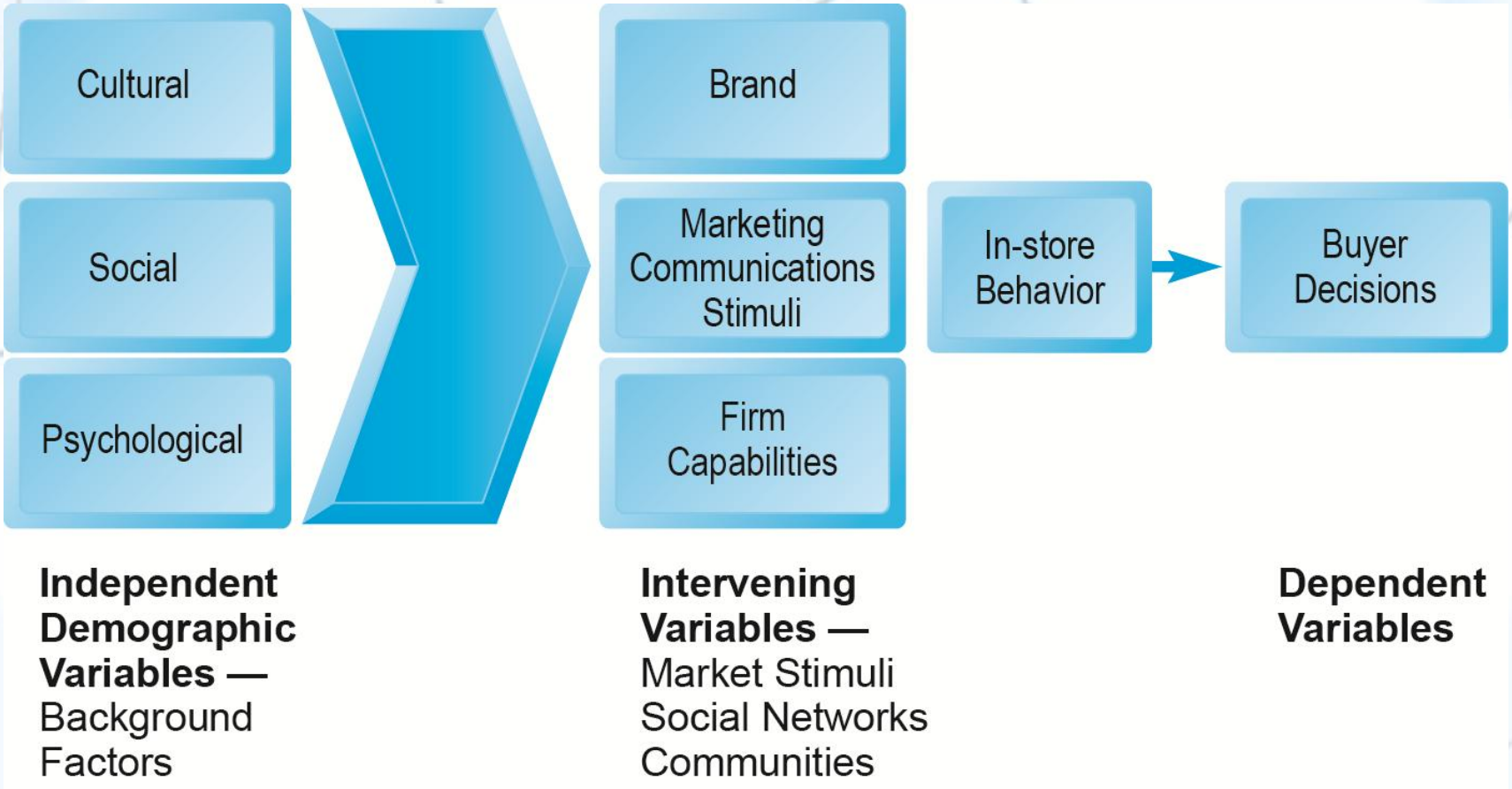


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The Online Purchasing Decision (cont.)

- Decision process similar for online and offline behavior
- General online behavior model
  - Consumer skills
  - Product characteristics
  - Attitudes toward online purchasing
  - Perceptions about control over Web environment
  - Web site features: latency, usability, security
- Clickstream behavior/ click behavior
  - succession of mouse clicks that each visitor makes
    - Clickstream/paths;- a route that visitors choose when clicking or navigating through a site
    - A list of all the pages viewed by visitors, presented in the order the pages were viewed

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A Model of Online Consumer Behavior

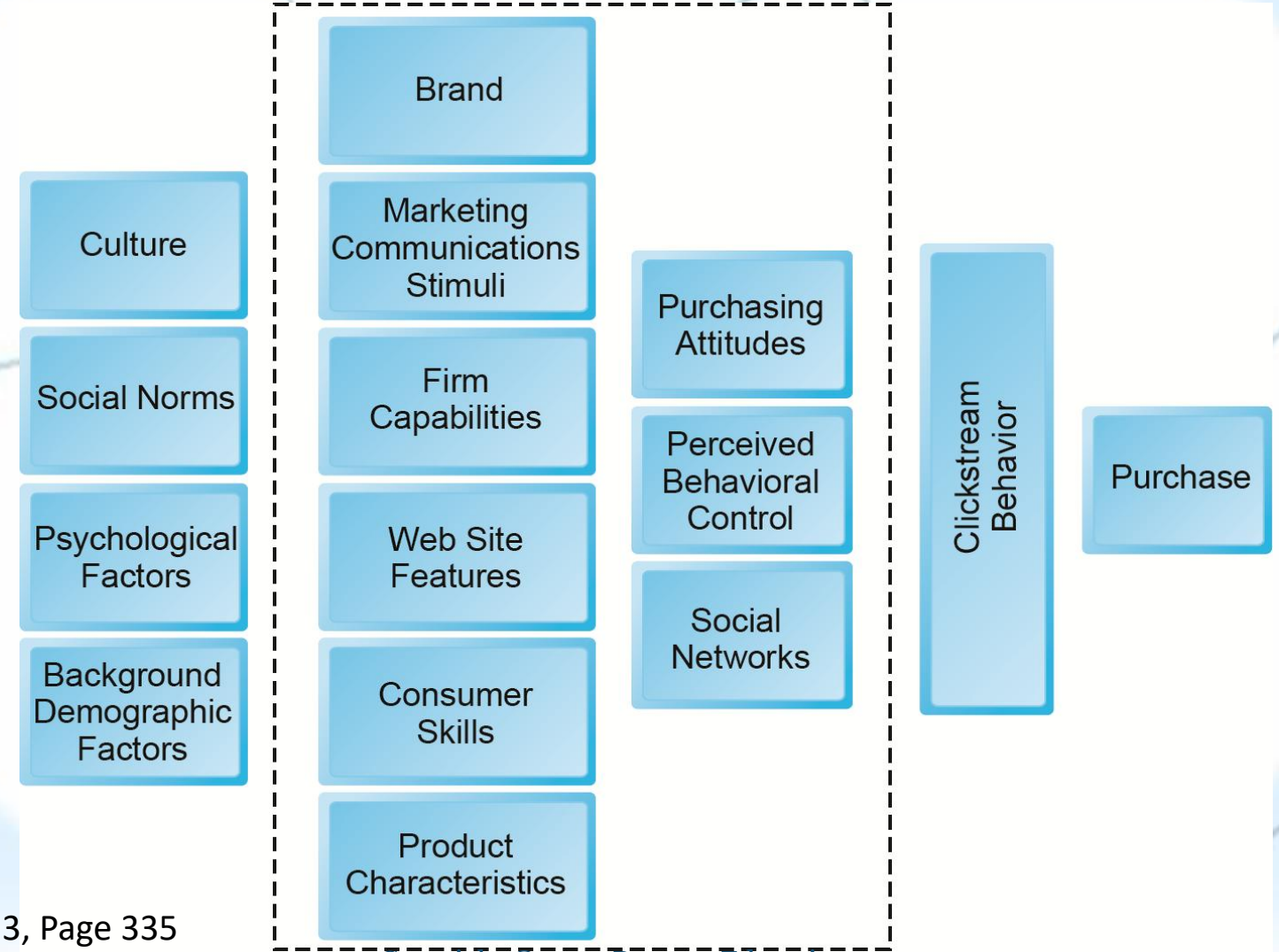


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LEARNING ABOUT A CONSUMER PURCHASING ONLINE

- **CUSTOMER DECISION SUPPORT IN WEB PURCHASING**
- **PLAYERS IN THE CONSUMER DECISION PROCESS**
  - **Initiator**-person who first suggests or thinks of the idea of buying a particular product or service.
  - **Influence**r-A person whose advice or views carries some weight in making the final purchasing decision.
  - **Decider**-the person who ultimately a buying decision or any part of it i.e. whether to buy, what, how and where.
  - **Buyer**-the person who makes the actual purchase.
  - **User**-the person who consumes or uses a product or service.
- **ONE-TO-ONE MARKETING-**EC tries to match the products(services) with the individual consumers which can be achieved through one-to-one marketing i.e treating individual customer uniquely by fitting the marketing and advertising with customers profile and needs.

Shoppers: Browsers and Buyers

- Internet audience tends to be concentrated among well educated, affluent and youthful.
- Shoppers: 89% of Internet users
  - 73% buyers
  - 16% browsers (purchase offline)
- One-third of offline retail purchases influenced by online activities
- Online traffic also influenced by offline brands and shopping
- E-commerce and traditional commerce are coupled:
  - Part of a continuum of consuming behavior

PERSONALIZATION, LOYALTY, SATISFACTION, AND TRUST IN EC

- **personalization**

  The matching of services, products, and advertising content with individual consumers and their preferences.

- **user profile**

  The requirements, preferences, behaviors, and demographic traits of a particular customer.

What Consumers Shop for and Buy Online

- Big ticket items (ksh. 100,000 or more)
  - Travel, computer hardware, electronics
  - Consumers now more confident in purchasing costlier items
- Small ticket items (ksh10,000 or less)
  - Apparel(clothing, especially outerwear), books, office supplies, software, and so on
- Types of purchases depend on level of experience with the Web. Experienced users buy big ticket items where as less experienced buy small ticket items

How Consumers Shop

- How shoppers find online vendors
  - Search engines (preferred method)
  - Marketplaces (Amazon, eBay)
  - Specific retail site
    - going directly to the company website.
- 27% of Internet users don't shop online
  - Trust factor
  - Hassle factors (shipping costs, returns, etc.)

Trust, Utility, and Opportunism in Online Markets

- Two most important factors shaping decision to purchase online:
  - **Utility**:
    - Better prices, convenience, speed
  - **Trust**:
    - Most important factors: Perception of credibility, ease of use, perceived risk
    - Sellers can develop trust by building strong reputations for honesty, fairness, delivery

PERSONALIZATION, LOYALTY, SATISFACTION, AND TRUST IN EC

- The major strategies used to compile user profiles include:

i) Solicit information directly from the user

ii) Observe what people are doing online

- **cookie**

  A data file that is placed on a user's hard drive by a remote Web server, frequently without disclosure or the user's consent, that collects information about the user's activities at a site.

iii) Build from previous purchase patterns

vi) Perform marketing research

PERSONALIZATION, LOYALTY, SATISFACTION, AND TRUST IN EC

- **Make inferences**
  - **behavioral targeting**

    The use of information collected on an individual's Internet browsing behavior to select which advertisements to display to that individual.

- **CUSTOMER LOYALTY**
  - **e-loyalty (more information from e-loyaltyresource.com)**

    Customer loyalty to an e-tailer or loyalty programs delivered online or supported electronically.

PERSONALIZATION, LOYALTY, SATISFACTION, AND TRUST IN EC

- **SATISFACTION IN EC**
  - it brings major success in B2C online environment. Customer satisfaction can lead to higher customer loyalty. Some outcomes of customer satisfaction includes: repeat purchase, positive word-of-mouth etc.
- **TRUST IN EC**
  - **trust**

    The psychological status of willingness to depend on another person or organization.
  - **EC Trust Models**

Digital Commerce Marketing and Advertising: Strategies and Tools

- Internet marketing uses both web and traditional channels to develop a positive and long lasting relationship a customer and create competitive advantage for the firm
- Internet marketing (vs. traditional)
  - More personalized
  - More participatory
  - More peer-to-peer
  - More communal
- The most effective Internet marketing has all four features

Multi-Channel Marketing

- Multichannel marketing
  - refers to the practice of interacting with customers using a combination of indirect and direct communication channels – websites, retail stores, mail order catalogs, direct mail, email, mobile, etc. – and enabling customers to take action in response – preferably to buy your product or service – using the channel of their choice.
- In the most simplistic terms, multichannel marketing is all about choice.

Multi-Channel Marketing plan

1. Web site
2. Traditional online marketing
   - Search engine, display, e-mail, affiliate
3. Social marketing
   - Social networks, blogs, video, game
4. Mobile marketing
   - Mobile/tablet sites, apps
5. Offline marketing
   - Television, radio, newspapers

Importance of multichannel marketing

- You must be where your customers are but they are everywhere and thus the need for multichannel marketing
- It gives a lot of control over buying process to customers than it does to marketers
- There is more need to reach customers in a variety of ways today than before. It is inevitable to embrace multichannel marketing

MARKET RESEARCH FOR EC

- **METHODS FOR CONDUCTING MARKET RESEARCH ONLINE**
  - **WHAT ARE MARKETERS LOOKING FOR IN EC MARKET RESEARCH?**
  - **MARKET SEGMENTATION RESEARCH**

Strategic Issues and Questions

- Which part of the marketing plan should you focus on first?
- How do you integrate the different platforms for a coherent message?
- How do you allocate resources?
  - How do you measure and compare metrics from different platforms?
  - How do you link each to sales revenues?

Establishing the Customer Relationship

- Web site functions to:
  - Establish brand identity and customer expectations
    - Differentiating product
  - Inform and educate customer
  - Shape customer experience
  - Anchor the brand online
    - Central point for all marketing messages

Online Advertising

- Advertising a marketing communication tool and therefore online advertising a paid message on a web , online service or other integrative medium
- Online advertising
  - Display, search, mobile messaging, sponsorships, classifieds, lead generation, e-mail
  - Fastest growing form of advertising
  - Advantages:
    - 18–34 year olds and post 65 years of age audience is online
    - Ad targeting (sending of a market message to specific subgroups of the population)
    - Price discrimination
    - Personalization

Traditional Online Marketing and Advertising Tools

- Search engine marketing and advertising
- Display ad marketing
- E-mail marketing
- Affiliate marketing
- Viral marketing
- Lead generation marketing
- Social, mobile, and local marketing and advertising

Search Engine Marketing and Advertising

- Search engine marketing (SEM)
  - Use of search engines for branding
- Search engine advertising
  - Use of search engines to support direct sales
- Types of search engine advertising
  - **Sponsored links** (keyword paid inclusion)- are programs that for a fee guarantees a websites inclusion in the search engines list of search results
  - **Keyword advertising-** a merchant purchases keywords through bidding process at search sites and whenever a customer searches using that word their advertisement shows somewhere on the page

Types of search engine advertising

- **Network keyword advertising** (context advertising) .
  - In this method website owners join the network and allows the search engine to place relevant ads on their sites.
  - The ads are paid for by advertisers who want their messages to appear across the web.

Search Engine Marketing (cont.)

- **Search engine optimization (SEO)**

  -register with as many search engines as possible

  -to improve a firms ranking by ensuring that the key words of the web description match keywords most likely to be used by the prospective customers

  -place keywords in a web sites metatag and page title (metatag is an HTML tag containing a list of words describing the website.

  -link website to as many other websites as possible (incoming links and outgoing links)

- **Social search**
  - Utilizes social graph (friend's recommendations, past Web visits, Facebook Likes, Google +1's) to provide fewer and more relevant results

Search Engine Marketing (cont.)

- Search engine issues
  - Paid inclusion and placement practices
  - Link farms-
    - Link farm is any group of web sites that all hyperlink to every other site in the group. Although some link farms can be created by hand, most are created through automated programs and services. A link farm is a form of spamming the index of a search engine.
    - Link farming can adversely affect your organic rankings and can harm your reputation and its very difficult for a website with a bad reputation to make a comeback.
    - The reason why link farms are recommended to be stayed away from is that they simply are internet pages and sites which contain nothing but commercial listings of domains and they usually do not add anything useful to the web

Search engine issues

- Content farms- a websites or database filled with user generated content. Writers do not earn money in the long term, writers are at the mercy of Google which is no 1 content farm
- Click fraud

EXHIBIT 4.2 Online Market Research Process

Steps in Collecting Market Research Data

1. Define the research issue and the target market.
2. Identify newsgroups and Internet communities to study.
3. Identify specific topics for discussion.
4. Subscribe to the pertinent groups; register in communities.
5. Search discussion group topic and content lists to find the target market.
6. Search e-mail discussion group lists.
7. Subscribe to filtering services that monitor groups.
8. Read FAQs and other instructions.
9. Visit chat rooms.

Content of the Research Instrument

1. Post strategic queries to groups.
2. Post surveys on a Web site.
3. Offer rewards for participation.
4. Post strategic queries on a Web site.
5. Post relevant content to groups, with a pointer to a Web site survey.
6. Post a detailed survey in special e-mail questionnaires.
7. Create a chat room and try to build a community of consumers.

Target Audience of the Study

1. Compare audience with the target population.
2. Determine editorial focus.
3. Determine content.
4. Determine what Web services to create for each type of audience.

Display Ad Marketing

- **Banner ads**-displays promotional messages
- **Rich media ads**-ads employing flash, DHTML, Java , streaming audio and or video
- Video ads
- **Sponsorships**-is a paid effort to tie an advertiser's name to information , an event or a venue in a way that reinforces its brand in a positive way.
- **Advertising networks**-esp. social networks
- **Advertising exchanges and real-time bidding**

E-mail Marketing

- Direct e-mail marketing
  - Messages sent directly to interested users
  - Benefits include
    - Inexpensive
    - Average more than 7% click-throughs for in-house lists
    - Measuring and tracking responses
    - Personalization of messages and offers
- Three main challenges
  - Spam
  - Anti-spam software
  - Poorly targeted purchased e-mail lists

Spam

- Unsolicited commercial e-mail
- 65–70% of all e-mail
- Most originates from bot networks
- Efforts to control spam have largely failed:
  - Government regulation (CAN-SPAM)- Controlling the Assault of Non-Solicited Pornography and Marketing Act of 2003.
  - State laws
  - Voluntary self-regulation by industries (DMA- direct marketing association guidelines for ethical business practice)

Other Types of Traditional Online Marketing

- **Affiliate marketing**
  - Commission fee paid to other Web sites for sending customers to their Web site
- **Viral marketing**
  - Marketing designed to inspire customers to pass message to others
- **Lead generation marketing**
  - Services and tools for collecting, managing, and converting leads

Social Marketing and Advertising

- Fastest growing type of online marketing
- Targets the enormous audiences of social networks
- Four features driving growth
  - Social sign-on
  - Collaborative shopping
  - Network notification
  - Social search (recommendation)

Social Marketing and Advertising (cont.)

- **Blog marketing**
  - Educated, higher-income audience
  - Ideal platform to start viral campaign
- **Game marketing**
  - Large audiences for social games (FarmVille, Words with Friends)
  - Used for branding and driving customers to purchase moments at restaurants and retail stores

Mobile Marketing and Advertising

- 7% of online marketing, growing rapidly
- Major formats:
  - Display, rich media, video
  - Games
  - E-mail
  - Text messaging (SMS)
  - In-store messaging-messages that can reach customers when they are making a buying decision.
  - Quick Response (QR) codes-2dm bar code used to provide easy access to information through smartphone. Used for mobile payments
  - Couponing- a coupon is a ticket that can be exchanged for financial discount
- App marketing

Local Marketing

- **Geared to user's geographic location**
  - Local search and purchasing
- **Local searches**:
  - 25% of all searches
  - 50% of mobile searches
- Most common local marketing tools
  - Geotargeting with Google Maps
  - Display ads in hyperlocal publications-connotes information oriented around a well **defined** community with its primary focus directed toward the concerns of its residents.

Other Online Marketing Strategies

- In addition to traditional online advertising and marketing strategies (search engine, display, etc.), several other strategies are more focused than "traditional" online strategies
  - Customer retention
  - Pricing
  - The "long tail"

Other Online Marketing Strategies

- Customer retention strategies
  - Personalization and one-to-one marketing
    - **Retargeting**- is a cookie-based technology that uses simple a Javascript code to anonymously 'follow' your audience all over the Web
    - **Behavioral targeting**
      - Based on data from search engine queries, clickstream history, social network data, and integration of offline personal data and records
      - Effectiveness still inconclusive
      - Privacy issues

Other Online Marketing Strategies (cont.)

- Customization: Changing the product
  - Information goods ideal for differentiation
- Customer co-production: Customers help create product
- Customer service
  - FAQs
  - Real-time customer chat systems
  - Automated response systems

Pricing Strategies

- **Pricing**
  - Integral part of marketing strategy
  - Traditionally based on:
    - Fixed cost
    - Variable costs
    - Demand curve
- **Price discrimination**
  - Selling products to different people and groups based on willingness to pay

Pricing Strategies (cont.)

- Free and freemium
  - Can be used to build market awareness
- Versioning
  - Creating multiple versions of product and selling essentially same product to different market segments at different prices
- Bundling
  - Offers consumers two or more goods for one price
- Dynamic pricing:
  - Auctions
  - Yield management
  - Flash marketing-interactive banner and button advertisement

Long-Tail Marketing

- Internet allows for sales of obscure products with little demand
- Substantial revenue because
  - Near zero inventory costs
  - Little marketing costs
  - Search and recommendation engines

Internet Marketing Technologies

- Internet's main impacts on marketing:
  - Scope of marketing communications broadened
  - Richness of marketing communications increased
  - Information intensity of marketplace expanded
  - Always-on mobile environment expands marketing opportunities

Web Transaction Logs

- Built into Web server software
- Record user activity at Web site
- Provides much marketing data, especially combined with:
  - Registration forms
  - Shopping cart database
- Answers questions such as:
  - What are major patterns of interest and purchase?
  - After home page, where do users go first? Second?

Tracking Files

- Users browsing tracked as they move from site to site
- Four types of tracking files
  - Cookies
    - Small text file placed by Web site
    - Allows Web marketers to gather data
  - Flash cookies
  - Beacons (“bugs”)-**web beacon** allows the site to record the simple actions of the user opening the page that contains the **beacon**.
  - Apps

TERMINOLOGIES

– **Observing Customers' Movements Online**

- **transaction log**

  A record of user activities at a company's Web site.

- **clickstream behavior**

  Customer movements on the Internet.

TERMINOLOGIES

– **Cookies, Web Bugs, and Spyware**

- **Web bugs**

  Tiny graphics files embedded in e-mail messages and in Web sites that transmit information about users and their movements to a Web server.

- **spyware**

  Software that gathers user information over an Internet connection without the user's knowledge.

TERMINOLOGIES

- **clickstream data**

  Data that occur inside the Web environment; they provide a trail of the user's activities (the user's clickstream behavior) in the Web site.

- **Web mining**

  The use of data mining techniques for discovering and extracting information from Web documents and Web usage.

TERMINOLOGIES

– **collaborative filtering**

A market research and personalization method that uses customer data to predict, based on formulas derived from behavioral sciences, what other products or services a customer may enjoy; predictions can be extended to other customers with similar profiles.

- **Legal and Ethical Issues in Collaborative Filtering**

INTERNET ADVERTISING TERMINOLOGY

- **ad views**

  The number of times users call up a page that has a banner on it during a specific period; known as impressions or page views.

- **button**

  A small banner that is linked to a Web site. It can contain downloadable software.

WEB ADVERTISING

- **click (click-through or ad click)**

  A count made each time a visitor clicks on an advertising banner to access the advertiser's Web site.

- **click-through rate**

  The percentage of visitors who are exposed to a banner ad and click on it.

- **click-through ratio**

  The ratio between the number of clicks on a banner ad and the number of times it is seen by viewers; measures the success of a banner in attracting visitors to click on the ad.

WEB ADVERTISING

- **conversion rate**

  The percentage of clickers who actually make a purchase.

- **CPM (cost per thousand impressions)**

  The fee an advertiser pays for each 1,000 times a page with a banner ad is shown.

- **hit**

  A request for data from a Web page or file.

WEB ADVERTISING

- **page**

  An HTML (Hypertext Markup Language) document that may contain text, images, and other online elements, such as Java applets and multimedia files. It can be generated statically or dynamically.

- **stickiness**

  Characteristic that influences the average length of time a visitor stays in a site.

WEB ADVERTISING

- **unique visits**

  A count of the number of visitors entering a site, regardless of how many pages are viewed per visit.

- **visit**

  A series of requests during one navigation of a Web site; a pause of a certain length of time ends a visit.

END

- Q and Comments